Significance of Elasticity

Name	Consumers	Businesses	Governments
PED	Businesses and government charge more which increases the burden on consumers for price inelastic goods	They can charge more if the PED is inelastic	They can have taxes on PED inelastic goods to raise tax revenue and minimise the burden on the market
PES	Consumers want supply price elastic goods because if price of an inelastic good increases supply will not increase much resulting in consumers bidding over the limited supply thus increasing the price substantially	If the price increases on a price elastic supply good then the businesses can produce more and maximise profits	Governments want to subsidise price elastic supply companies to increase the supply of the company and increase their revenue, benefiting workers and the market
XED	Consumers want cross price elastic goods because this implies there are lots of substitutes in the market so as price of goods increase, the buyers can alternate between substitutes to fulfil their needs.	Businesses want cross price inelastic goods that are complementary goods so they can make maximum profits from selling complementary goods	Governments would prefer complementary goods so they can tax businesses and increase tax revenue off their higher company revenue

Aa Name	Consumers	Businesses	Governments
YED	Consumers want income inelastic goods as an increase in income will result in little demand change resulting in prices remaining stationary allowing the opportunity cost of buying the good to be lower	Businesses want income elastic goods because as the economy expands and wages increase, businesses can make more money due to the subsequent increase in demand	Governments want goods to be income elastic so as the economy expands and wages increase, people buy more and stimulate the economy further
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